

about lost income, why isn't the Plaintiff producing those documents now?

The Court may impose monetary sanctions, including attorney fees, against a party engaging in a misuse of the discovery process. (CCP § 2023.030(a).) Relevant misuses of the discovery process include: (1) failing to respond to an authorized method of discovery; (2) making, without substantial justification, an unmeritorious objection to discovery; and/or (3) making an evasive response to discovery. (CCP § 2023.010, subds. (d), (e), (f).)

Plaintiff has requested sanctions of \$7,810.00 against Plaintiff and her attorneys at The Barnes Firm, L.C., for reasonable attorney's fees and costs. The court appreciates the time involved in a discovery motion of this magnitude, and finds that after all is said and done it was a single document request, on a few limited issues. Taking into account the pleadings prepared in this case, the court awards sanctions against Plaintiff's counsel in the amount of \$3900, roughly half the amount sought, due within 20 days of service of entry of this order.

Law & Motion
Add On 2

19. 9:00 AM CASE NUMBER: C23-02761

CASE NAME: SUNPOINT PUBLIC ADJUSTERS, INC. VS. GARY JOHNSON

***HEARING ON MOTION IN RE: TO STRIKE 2ND AMENDED CROSS-COMPLAINT FILED BY SUNPOINT PUBLIC ADJUSTERS INC.**

FILED BY:

TENTATIVE RULING:

Introduction

Before the Court is Cross-Defendant SUNPOINT PUBLIC ADJUSTERS, INC.'s Motion to Strike. The Motion to Strike relates to Cross-Complainants GARY JOHNSON, KEVIN JOHNSON, and JOHNSON AND JOHNSON CONSULTING, INC's Second Amended Cross Complaint ("2AXC"). For the following reasons, the Motion to Strike is denied in its entirety.

Cross-Defendants move to strike the 2AXC in its entirety, arguing that it was filed four days past the statutory 10-day deadline. (MTS p. 4: 5-12.)

Procedural Background

The hearing in which the FAXC was granted with leave to amend took place on August 7, 2025. The order after hearing was executed on August 19, 2025, and filed by the court on August 20, 2025. The proof of service for the order was filed on September 29, 2025. The 2AXC was filed on August 15, 2025.

Analysis

The 2AXC Was Timely Filed.

“Following a ruling on a demurrer, unless otherwise ordered, leave to answer or amend within 10 days is deemed granted...” (Cal. Rules of Court, rule 3.1320(g).)

The 10-day time limit does not run from pronouncement at a hearing of the Court’s decision. Section 472b of the California Code of Civil Procedure is clear; “[w]hen a demurrer to any pleading is sustained or overruled, and time to amend or answer is given, the time so given runs from the service of notice of the decision or order, unless the notice is waived in open court, and the waiver entered in the minutes.” (Civ. Proc. Code § 472b.) In short, “the time to amend a complaint following a demurrer runs from notice of the ruling, not the ruling itself even if counsel is present.” (*People v. \$20,000 U.S. Currency* (1991) 235 Cal.App.3d 682, 691.)

Here, Cross-Complainants did not waive notice in open court, nor was any such waiver recorded in this Court’s August 7, 2020, minute order. Rather, the Court (Judge Douglas) specifically instructed the parties to prepare a formal order, which was not filed until August 20, 2025. The triggering event that starts the clock on the days is the notice of the order which was not filed until September 29, 2025. The 2AXC was filed before then on August 15, 2025. The 2AXC was filed timely.

“Wrongfully” Terminated Language

Cross Defendants request that the Court strike the allegation that Gary Johnson was wrongfully terminated because 2AXC does not plead a cause of action for wrongful termination. Nor does it even allege facts that would support the elements of a wrongful termination. (Motion to Strike p. 6: 5-7; 2AXC ¶ 80.) The 2AXC alleges that his termination was wrongful in the context that SPA, Khan, and Clifford “conspired to out Gary Johnson from Sunpoint as part of a scheme and pattern to take his stock for less than fair market value. (Motion to Strike p. 6: 13-16; 2AXC ¶ 80.)

Cross Defendants’ position is unsupported by the allegations. The wrongful termination was alleged as part of a scheme that constituted a breach of fiduciary duty. Cross Defendants did not present any law that suggests that a breach of fiduciary claim cannot be based on conduct constituting wrongful termination.

Conclusion

In consideration of the above, **Motion to Strike is denied.**

20. 9:00 AM CASE NUMBER: C23-02761

CASE NAME: SUNPOINT PUBLIC ADJUSTERS, INC. VS. GARY JOHNSON

HEARING ON DEMURRER TO: TO 2ND AMENDED CROSS-COMPLAINT FILED BY SUNPOINT PUBLIC ADJUSTERS INC.

FILED BY:

TENTATIVE RULING:

Introduction

Before the Court is the Demurrer of Cross-Defendants Defendants SUNPOINT PUBLIC ADJUSTERS, INC. GREGG CLIFFORD and MASOOD KHAN (collectively “Cross-Defendants”) filed September 29, 2025, to the Second Amended Cross Complaint (“2AXC”) of Cross-Complainants GARY JOHNSON, KEVIN